
A PLAIN-ENGLISH WALKTHROUGH

How a Private Money Lending Deal Works

*Step by step, start to close — for real estate investors,
from a certified private money broker.*

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Informational only. Not financial advice, and not an offer to lend.

Before the five steps: what private money actually is

A private money loan is real estate financing that comes from a private lender — an individual, a fund, or a lending company — instead of a bank. Two things make it different, and both of them matter more than the interest rate.

It is underwritten against the asset. A bank underwrites *you*: your credit file, your tax returns, your debt-to-income ratio, two years of everything. A private lender underwrites *the property*: what it's worth now, what it will be worth after the work, and how they get paid back. Your file still matters, but it isn't the gate.

It is fast, because it has to be. A bank closes in thirty to sixty days. A distressed seller, an auction, a property that three other investors are looking at — none of those wait thirty days. Private money exists because the timeline exists.

That speed and that flexibility are not free. Private money costs more than a bank loan. The reason investors use it anyway is simple: a more expensive loan on a deal you actually get beats a cheap loan on a deal you lost.

STEP 1

The investor finds a deal

Everything starts with a property that has room in it: distressed, underpriced, dated, or simply owned by someone who needs out faster than a normal sale allows.

What "room" means to a lender. Not what you can buy it for. What it's worth when the work is done — the after-repair value — against everything you will have put into it. The gap between those two numbers is the lender's safety margin and your profit, and the lender is looking at the same gap you are.

What to have ready before you call anybody: the address, the purchase price, an honest rehab budget, and what you believe it's worth finished. Those four numbers are the entire first conversation.

STEP 2

The lender funds the purchase

The private lender provides the capital, secured by the property itself.

Secured means a lien. They record a deed of trust or mortgage against the property. If the loan doesn't get repaid, they can foreclose. That is the whole reason they can lend fast and lend on the asset — their downside is the property, and they have priced the loan accordingly.

Rehab money usually arrives in stages. Purchase funds go out at close. The renovation budget typically funds through draws: you complete a phase, it gets inspected, the next tranche releases. Nobody hands over the full rehab budget on day one, and a lender who offers to is telling you something about how they will behave later.

STEP 3

The terms are agreed

The private money lender agreement sets out interest, duration, and collateral. This is where deals are actually won and lost, and it is the part investors skim.

What to read, in order of how much it will cost you to get wrong:

- **Term length.** Most of these loans are short — months, not decades. What happens on the last day matters more than the rate.
- **The exit.** Every private loan is written expecting to be paid off by something: a sale, a refinance into long-term financing, or a rental placement. The exit is the plan. No exit, no deal.
- **Extensions.** If the work runs long — and work runs long — can you extend? At what cost, and is it automatic or at their discretion?
- **Points and fees.** Origination points are charged up front and are part of the real cost of the money. Compare total cost, never headline rate.
- **Prepayment.** Some loans carry a minimum interest period. Paying off early doesn't always mean paying less.
- **Draw schedule.** How the rehab money releases, who inspects, and how long a draw takes. A slow draw process can stall a job as effectively as running out of money.

STEP 4

The borrower executes the strategy

Flip it, refinance it, or rent it. The loan was structured around whichever one of those you named in Step 3, which is why changing your mind mid-project is expensive.

The flip. Renovate, list, sell, pay the loan off out of the proceeds. Your enemy is time: every extra month is another month of interest against a fixed sale price.

The refinance — the BRRRR pattern. Buy, rehab, rent, refinance, repeat. The private loan is a bridge; once the property is stabilized and producing rent, a conventional or DSCR loan takes it

out and returns your capital.

The rental hold. Same as above, minus the repeat: the long-term loan replaces the private one and you keep the property.

STEP 5

The lender is repaid

Principal plus interest, when the property sells or refinances. The lien releases, the file closes, and the lender's capital goes back out on the next deal.

And that is the part most people miss: the lender wants to redeploy that money. A borrower who executes cleanly, communicates when something slips, and pays off as agreed doesn't just finish a deal — they get a faster yes on the next one. In private lending your track record is the asset.

Where a broker fits

There are thousands of private lenders in the US, and they are not interchangeable. They differ by property type, by state, by loan size, by whether they'll touch a ground-up build or a rural property or a borrower with one deal behind them.

A broker's job is knowing which of them says yes to your specific deal — and then handling the structuring, the underwriting submission, and the paperwork that follows. You shop terms across a network instead of accepting the first yes you find, and you spend your attention on the property rather than on the lender search.

That's what I do. If you want to talk through a specific deal, my details are below.

Closing

The private lending industry in the United States runs somewhere in the range of \$70–80 billion a year in origination volume, and it is professionalizing quickly — institutional capital moving in where individual lender money used to sit, and DSCR products growing fastest of all. It is not a back alley. It is simply a part of the market that never got explained well.

Now it has been.

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Informational only. Not financial advice, and not an offer to lend. Every deal, lender and state is different — talk to your own professionals before you sign anything.